Risk Management

Safeguarding Performance, Empowering Progress

Savola applies a disciplined, forward-looking approach to risk so we can grow with confidence and protect the interests of all stakeholders. Our risk management practices are designed to anticipate change, strengthen resilience and support informed decision-making across the Group.

By embedding strong governance, clear accountability and a standard risk culture, we ensure that risks are identified early, assessed rigorously and managed consistently across every part of our business. This helps us maintain stability in dynamic markets, protect our operations and reputation and create the foundation we need to pursue our strategic objectives with clarity and conviction.

The Group, like any other economic entity, may be affected by risks through the nature of its commercial activities in basic food commodities, retail and other investments. These risks may be summarized as follows:

- Operational, financial, strategic, regulatory and compliance risks.
- The possibility of the Group operations being exposed to geopolitical risks that result from its operations outside the Kingdom.
- Risk of volatile raw material costs and commodity price fluctuations affecting the global and local markets where it operates.
- Risk of geographic expansion and competition pertaining to new markets in the region.
- Fluctuations in foreign currency exchange rates, particularly against the Saudi Riyal, or other currencies in the countries where the Group operates.
- Inflation in the economies of countries where the Group operates.
- Risks related to new investments.
- Any emerging risks that the Group may be exposed to during its operations.

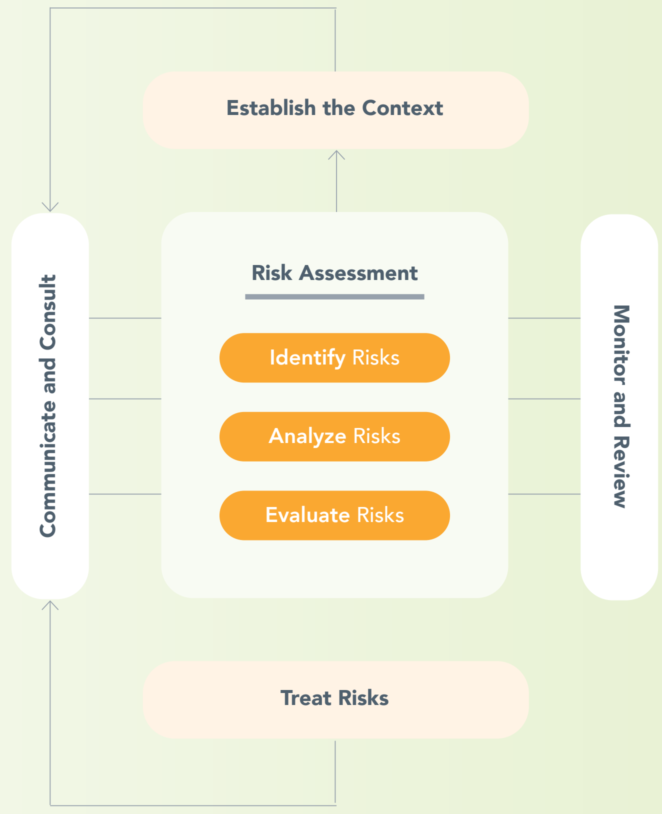
The Group manages risks through a coordinated governance structure involving the Board of Directors, the Audit Committee, Executive Management and specialized departments and task forces across the organization. This structure facilitates embedding risk-related activities within the core business functions.

Savola is dedicated to preserving stakeholder value and corporate reputation by advancing its risk culture through rigorous governance and continuous professional development.

Enterprise Risk Management Framework

In line with the market's best practices Savola has an integrated Enterprise Risk Management (ERM) framework to support the success of the business and achievement of its strategic goals through a collaborative risk management environment that proactively identifies, monitors and mitigates risks. The framework has been developed in line with current leading ERM practices and ISO 31000.

In developing the ERM framework, the focus was to design a process that addresses Savola's business needs while remaining simple and pragmatic. Savola's ERM framework outlines the series of activities that Savola uses in identifying, assessing and managing its risks. The framework ensures risk is being managed through a common set of processes at Savola, which enables the flow of risk information to the person with authority and responsibility for making decisions pertaining to the activity associated with the risk. By establishing a common language and set of tools, Savola's risk management process can be replicated at any level within the Group.



In line with the continuous efforts to strengthen risk management culture and capabilities, Savola has:

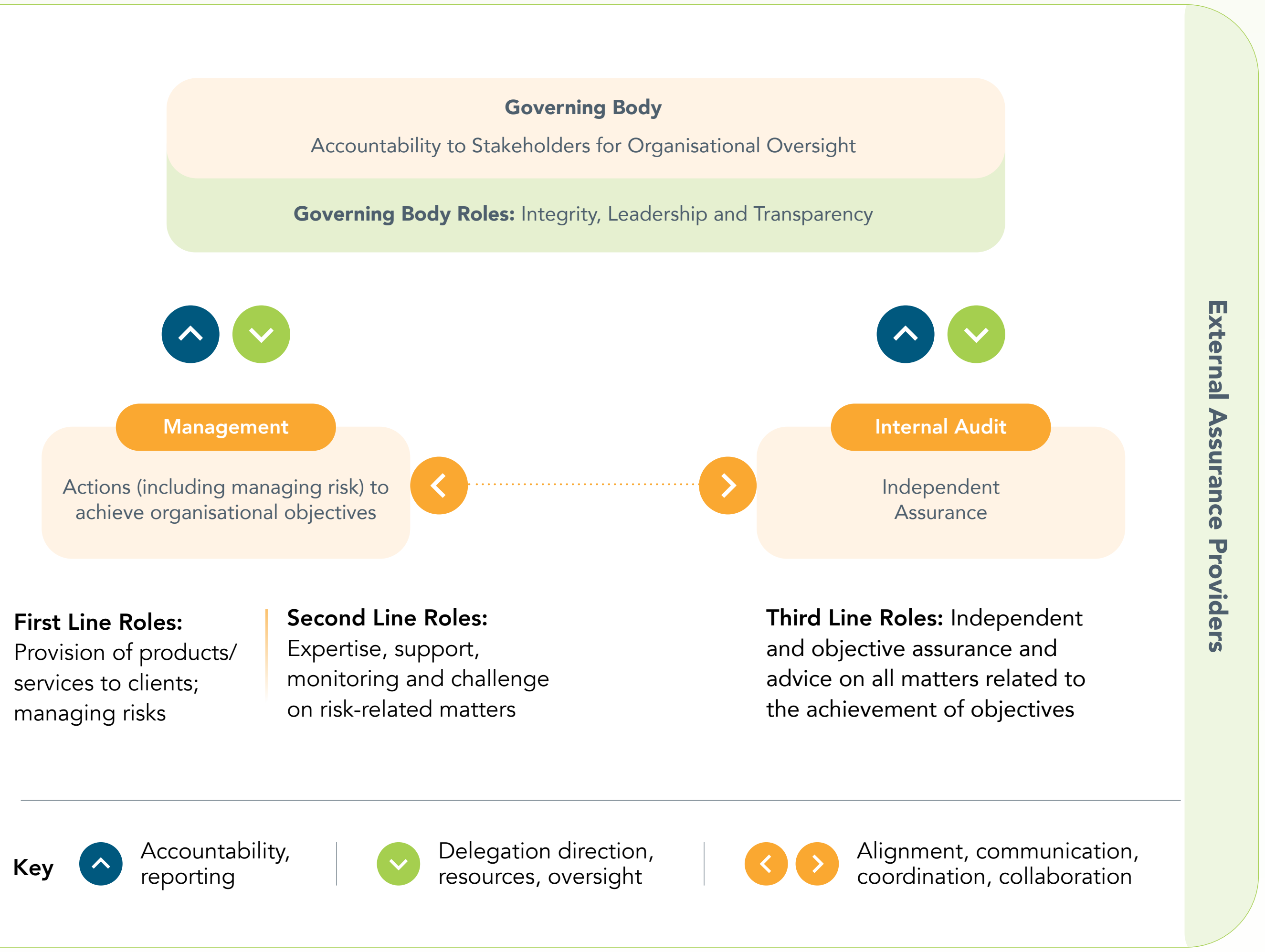
- Established a risk management function reinforced by functional Risk Champions who drive implementation and monitoring across key business areas, facilitating coordination and risk oversight.
- Set an ERM framework and governance policy, approved by the Board of Directors.
- Proactively identifying emerging external risks and communicating them with the relative functions for assessment and mitigation actions.
- Implemented a Governance, Risk and Compliance (GRC) system to enhance managing risk assessments, registers, management issues, key risk indicators, policy management and internal audit at Savola Group and its main subsidiaries.
- Developed a risk appetite framework.
- Set the Group's risk appetite statement, approved by the Board of Directors.
- Developed key risk indicators (KRIs).
- A Group Steering Committee was formed to strengthen governance, risk and compliance framework by:
  - o Challenging strategic business decisions and risk assessments
  - o Monitoring risk exposure and offering actionable insights on emerging threats
  - o Advising the Board on critical risk and business matters

Risk Management (continued)

Three Lines Model

Savola operates a "Three Lines Model" to ensure accountability across the Group for governance, monitoring, reporting and management of risks, and the control environment.

Each of the Three Lines plays a distinct role within Savola's wider governance framework. The Board, management and internal auditors are the primary stakeholders served by the Three Lines Model, and they are the parties best positioned to ensure the Three Lines Model is reflected in Savola's risk management and internal control processes.



Managing Risk with Financial Instruments

The Group's overall risk management program focuses on the unpredictability of financial markets and seeks to minimize potential adverse effects on the Group's financial performance. The Group uses derivative financial instruments to hedge certain risk exposures.

Financial instruments carried on the consolidated statement of financial position include cash and cash equivalents, term deposits, trade and other receivables, investments measured at fair value, loans and borrowings, lease liabilities, derivatives, trade payables and accrued and other current liabilities. The particular recognition methods adapted are disclosed in the individual policy statements associated with each item.

Financial asset and liability is offset and net amounts reported in the financial statements, when the Group has a legally enforceable right to set off the recognized amounts and intends either to settle on a net basis, or to realize the asset and liability simultaneously.

Market Risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises More than 3 of risks:

Interest Rate Risk

Interest rate risks are the exposures to various risks associated with the effect of fluctuations in the prevailing interest rates on the Group's financial positions and cash flows.

The Group's interest rate risks arise mainly from its borrowings and short-term deposits, which are at floating rate of interest and are subject to re-pricing on a regular basis and for which the management closely monitors the changes in interest rates.

Currency Risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates for its transactions principally in Saudi Riyals, US Dollars, Egyptian Pounds, United Arab Emirates Dirhams, Sudanese Pounds and Turkish Lira.

The Group operates internationally and is exposed to foreign exchange risk, including currency translation risk arising from its investments in foreign subsidiaries and associates whose net assets are denominated in foreign currencies. Currently, such exposures are mainly related to exchange rate movements between foreign currencies against, Egyptian Pounds, Sudanese Pounds and Turkish Lira. Such fluctuations are recorded as a separate component of equity "Foreign Currency Translation Reserve" in the accompanying consolidated financial statements. The Group's management monitors such fluctuations and manages its effect on the consolidated financial statements accordingly.

Generally, borrowings are denominated in currencies that match the cash flows generated by the underlying operations of the Group. In addition, interest on borrowings is denominated in the currency of the borrowings. This provides an economic hedge without derivatives being entered into and therefore hedge accounting is not applied in these circumstances.

Price Risk

Price risk is the risk that the value of a financial instrument fluctuates due to changes in market prices, whether driven by factors specific to the instrument or its issuer, or by broader market movements. The Group is exposed to equity price risk through investments in certain listed equities classified as FVOCI. Management monitors the proportion of equity securities within the investment portfolio against relevant market indices, and these investments are managed individually, with all buy and sell decisions approved by the Investment Committee. In addition, United Sugar Company uses derivative financial instruments, including commodity futures contracts, to hedge raw material price risk in the sugar business.

Details of the Group's investment portfolio exposure to price risk at the reporting date are disclosed in Note 11 to these consolidated financial statements. As of 31 December 2025, the Group's overall exposure to price risk is limited to the fair value of these positions.

Risk Management (continued)

Credit Risk

Credit risk is the risk that one party to a financial instrument will fail to discharge its obligations and cause the other party to incur a financial loss. The Group has no significant concentration of credit risk. To reduce exposure to credit risk, the Group has an approval process whereby credit limits are applied to its customers.

The Group regularly monitors credit exposure to customers by grouping them based on credit characteristics, payment history, customer type (individual or legal entity), segment (wholesale, retail, or manufacturer), geographic location, and any financial or economic difficulties, including industry- and country-related default risk. Based on this assessment, the Group recognizes impairment losses for balances considered doubtful of recovery, and outstanding receivables are monitored on an ongoing basis. To mitigate credit risk from debtors, the Group has also entered into credit insurance arrangements in certain geographies.

Loss rates are calculated using a "roll rate" method based on the probability of a receivable progressing through successive stages of delinquency to write-off. Roll rates are calculated separately for exposures in different segments based on the following common credit risk characteristics – geographic region, age of customer relationship and type of product purchased.

Loss rates are based on historical credit loss experience and are adjusted to reflect differences between economic conditions during the period over which the historical data has been collected, current conditions and the Group's view of economic conditions over the expected lives of the receivables.

i) Other receivables

Impairment on other receivables has been measured on a 12-month expected loss basis and reflects the short maturities of the exposures having low credit risk.

ii) Cash and cash equivalents

Impairment on cash and cash equivalents and term deposits has been measured on a life-time expected loss basis and reflects the short maturities of the exposures. The Group considers that its cash and cash equivalents and term deposits have low credit risk based on the external credit ratings of the counterparties.

Cash and cash equivalents, term deposits and derivative financial instruments include balances which are held with banks with sound credit ratings ranging from (AA) to (B).

Liquidity Risk

Liquidity risk is the risk that an enterprise will encounter difficulty in raising funds to meet commitments associated with financial instruments. Liquidity risk may result from an inability to sell a financial asset quickly at an amount close to its fair value. Liquidity risk is managed by monitoring on a regular basis, that sufficient funds are available through committed credit facilities to meet any future commitments.

The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation. At 31 December 2025, the Group has a net current liability position. For this purpose, the Group has maintained credit lines with various commercial banks in order to meet its liquidity requirements. As at 31 December 2025 , the Group has unused bank financing facilities amounting to ⃁ 5.3 billion (31 December 2024: ⃁ 5.3 billion) to manage the short-term and long-term liquidity requirements.

Fair Value of Assets and Liabilities

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities. When one is available, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Group uses valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction. For further details, the same item can be reviewed in the clarification notes accompanying the Company's consolidated financial statements for 2025.